

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-16

IWG INTERNATIONAL WOOD GROUP OF SC AND HONEST TRADING

Complainants

VERSUS

DB SCHENKER USA, INC.

Respondent

COMPLAINANTS' REPLY BRIEF

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I. PRELIMINARY STATEMENT

Respondent's Reply Brief devotes substantial attention to collateral procedural disputes concerning discovery, filing deadlines, document formatting, and appendix organization. While Respondent attempts to shift the focus of this proceeding to those issues, the central question before the Commission remains unchanged: whether Respondent maintained just and reasonable practices in connection with the handling, processing, routing, endorsement, and delivery of shipping documents associated with the five subject shipments.

The evidentiary record demonstrates recurring problems involving shipment documentation, letter of credit processing, document routing, communication delays, endorsement requirements, and cargo release procedures. These issues were not confined to a single transaction, nor were they limited to a single type of error. Rather, the record reflects repeated deficiencies affecting multiple shipments and resulting in foreseeable financial harm to Complainants and their customers.

Respondent attempts to characterize each shipment issue as an isolated occurrence and repeatedly emphasizes that the subject shipments represent only a portion of the shipments handled for Complainants. This argument improperly fragments the record and ignores the recurring nature of the conduct at issue. The relevant inquiry is not whether other shipments were completed without incident. The relevant inquiry is whether the repeated conduct demonstrated in the record constituted an unjust and unreasonable practice relating to the handling and delivery of cargo within the meaning of 46 U.S.C. § 41102(c).

As demonstrated below, the evidence establishes repeated shipment-handling failures, foreseeable resulting damages, and a sufficient basis for finding that Respondent violated the Shipping Act.

II. APPLICABLE LAW AND BURDEN OF PROOF

Section 41102(c) of the Shipping Act provides that a common carrier or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to the receiving, handling, storing, or delivering of property.

The Commission has recognized that not every isolated mistake or one-time error constitutes a violation of Section 41102(c). Rather, liability depends upon whether the challenged conduct reflects a practice relating to cargo handling, documentation, communication, or delivery functions and whether that practice is unjust or unreasonable. See 46 C.F.R. § 545.4; *Crocus Investments, LLC & Crocus, Fze v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL [3732849](#) (FMC Aug. 18, 2021).

Similarly, Commission precedent recognizes that repeated deficiencies relating to cargo handling and delivery functions may support a finding that a respondent failed to maintain just and reasonable practices under Section 41102(c). See *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, Docket No. 17-02, 2 F.M.C.2d 168 (FMC Sept. 1, 2020).

Respondent argues that the five subject shipments must be viewed as unrelated and isolated occurrences. However, the record demonstrates recurring issues involving shipment documentation, letter-of-credit processing, document routing, endorsement requirements, communication delays, and cargo-release procedures. Although the specific facts of each shipment differ, the underlying deficiencies involve the same operational functions performed by Respondent in connection with the handling and delivery of cargo.

Accordingly, the relevant inquiry is not whether each shipment involved identical facts. The relevant inquiry is whether the record, viewed as a whole, demonstrates repeated conduct relating to shipment handling, documentation, and cargo-release procedures. Complainants submit that the evidence demonstrates such a pattern and satisfies the requirements of Section 41102(c).

Further, Complainants bear the burden of proving that Respondent's conduct caused actual damages. The record contains evidence of demurrage-related losses, storage charges, customer deductions, contract-related losses, and other economic harm resulting from the shipment issues described throughout the record. See CX-072 (Appendix F) and CX-073 (Appendix G).

For these reasons, the evidence presented satisfies the applicable legal standards and supports a finding that Respondent violated Section 41102(c).

III. DISCUSSION

a. Respondent Mischaracterizes the Record and the Evidence Demonstrates Repeated Shipment Handling Failures.

Respondent repeatedly argues that because the subject shipments represent only five of the forty-four shipments handled for Complainants, the evidence is insufficient to establish an unreasonable practice under Section 41102(c). This argument improperly focuses on the number of shipments rather than the nature of the conduct reflected in the record.

Complainants do not contend that every shipment handled by Respondent was affected by identical problems. Nor do Complainants contend that every shipment resulted in damages. Rather, Complainants contend that the record demonstrates recurring deficiencies involving shipment documentation, letter of credit processing, document routing, endorsement requirements, communication delays, and cargo release procedures affecting multiple shipments handled by Respondent.

The evidence demonstrates that these issues were not confined to a single shipment or a single isolated mistake. Instead, multiple shipments experienced document-related problems requiring correction, reissuance, additional communications, revised instructions, delayed processing, or extraordinary efforts to obtain the documents necessary to complete the transaction.

For example, the record contains evidence concerning document handling and release issues relating to Shipment YHU25912806. See CX-009 and CX-010 (Appendix A). The record further reflects document processing and release issues involving Shipment YHU25912853. See CX-016 (Appendix B). Additional documentation issues, correction requests, and communication delays are reflected in connection with Shipment YHU25912863. See CX-030 (Appendix C). Similar concerns are reflected in the records relating to Shipments RICFE2007400 and 2154787640. See CX-052 and CX-063 (Appendix D); CX-067 and CX-068 (Appendix E).

Respondent attempts to characterize each occurrence as entirely unrelated to the others. However, the record demonstrates that the issues repeatedly involved the same operational functions performed by Respondent, namely the preparation, processing, routing, transmission, endorsement, and release of shipping documents necessary for the movement and delivery of cargo.

The Commission's inquiry is not limited to whether identical errors occurred in every shipment. Rather, the inquiry is whether the challenged conduct reflects repeated deficiencies in practices relating to the handling and delivery of cargo. When viewed collectively rather than in isolation, the evidence demonstrates recurring problems involving the same categories of shipment-handling activities.

Respondent also relies heavily upon the fact that additional shipments were completed without complaint. While Complainants acknowledge that not every shipment experienced similar issues, the existence of successful transactions does not eliminate liability for repeated failures occurring in other transactions. The relevant question is whether the conduct demonstrated by the evidence constitutes an unjust and unreasonable practice within the meaning of Section 41102(c), not whether every shipment handled by Respondent resulted in a dispute.

Accordingly, Respondent's attempt to characterize the subject shipments as unrelated isolated occurrences should be rejected, and the evidence should instead be evaluated as a whole. When viewed in its entirety, the record demonstrates repeated deficiencies affecting multiple shipments and supports a

finding that Respondent failed to maintain just and reasonable practices relating to the handling and delivery of cargo.

b. Respondents Conduct Was Unjust and Unreasonable

Section 41102(c) of the Shipping Act prohibits common carriers and ocean transportation intermediaries from failing to establish, observe, and enforce just and reasonable regulations and practices relating to the receiving, handling, storing, or delivering of property.

Respondent attempts to characterize the shipment issues at issue as isolated mistakes affecting only a small number of shipments. However, the evidence presented during the hearing demonstrates recurring deficiencies involving shipment documentation, document processing, communication, endorsement requirements, and cargo release procedures affecting multiple shipments handled by Respondent.

The relevant inquiry is not whether Respondent successfully completed other shipments without incident. Rather, the inquiry is whether the conduct reflected in the record demonstrates practices relating to cargo handling and delivery that were unjust or unreasonable within the meaning of Section 41102(c).

The evidence demonstrates repeated failures to properly manage and communicate critical shipment information, resulting in delays, additional expenses, and disruption to Complainants' business operations. The record reflects recurring operational deficiencies involving document processing, routing, endorsement requirements, and communication delays that directly affected the movement and release of cargo.

These issues were not limited to a single shipment or a single isolated occurrence. Instead, the record demonstrates multiple instances in which Respondent's handling of shipment-related documentation and communications contributed to delays, increased costs, and other foreseeable consequences to Complainants.

Respondent's reliance on the fact that other shipments were completed without incident does not negate the evidence concerning the shipments at issue. Section 41102(c) does not require proof that every shipment was mishandled. Rather, the statute prohibits unjust and unreasonable practices relating to cargo handling and delivery, and the evidence demonstrates such practices here.

Accordingly, the record supports a finding that Respondent failed to maintain just and reasonable practices relating to the handling and delivery of cargo in violation of Section 41102(c).

c. Respondent's Conduct Was a Proximate Cause of Complainants' Damages

Respondent argues that Complainants failed to establish a causal connection between Respondent's conduct and the damages claimed in this proceeding. The record demonstrates otherwise.

To recover damages under the Shipping Act, Complainants must establish that Respondent's violations were a proximate cause of the losses suffered. The evidence presented during the hearing satisfies that burden through documentary evidence, witness testimony, shipping records, invoices, and business records demonstrating that Respondent's conduct directly resulted in additional expenses and financial harm.

The evidence established that Respondent's failures in handling, processing, routing, and communicating shipment-related information caused delays, storage charges, demurrage, detention expenses, customer deductions, and other losses that would not have been incurred absent Respondent's conduct. These damages were not speculative. See CX-072 (Appendix F) and CX-073 (Appendix G). Rather, they were supported by contemporaneous records and testimony introduced into evidence.

Respondent attempts to attribute Complainants' losses to unrelated causes or ordinary business risks. However, the evidence demonstrates a direct connection between the shipment-handling failures described throughout the record and the resulting financial harm suffered by Complainants. The expenses

incurred were a foreseeable consequence of delays, document-processing issues, communication failures, and cargo-release problems affecting the subject shipments.

Moreover, Respondent presented no persuasive evidence demonstrating that the damages would have occurred regardless of its conduct. Instead, the record reflects that once shipment issues arose, Respondent failed to take reasonable and timely actions to resolve those issues, resulting in additional costs and losses to Complainants.

The Shipping Act does not require absolute precision in calculating damages. It requires that damages be established with reasonable certainty and supported by the evidence. The record contains sufficient evidence of demurrage charges, storage fees, customer deductions, contract-related losses, and other economic harm resulting from the shipment issues at issue in this proceeding.

Accordingly, the evidence supports a finding that Respondent's conduct was a proximate cause of Complainants' damages and that Complainants are entitled to recover those damages under the Shipping Act.

IV. RESPONDENT'S ARGUMENTS DO NOT UNDERMINE THE EVIDENCE SUPPORTING COMPLAINANTS' CLAIMS

Respondent's Reply Brief largely reiterates arguments that were presented throughout discovery, motion practice, and the hearing. Those arguments do not overcome the substantial evidence demonstrating that Respondent engaged in unjust and unreasonable practices in violation of Section 41102(c) of the Shipping Act.

The documentary evidence, witness testimony, correspondence, shipping records, and business records introduced into evidence establish recurring shipment-handling failures, communication deficiencies, document-processing issues, and cargo-release problems affecting multiple shipments

handled by Respondent. The record demonstrates that these issues were not isolated events but recurring deficiencies involving the same operational functions performed by Respondent.

Respondent attempts to minimize these failures by focusing on shipments that were completed without incident and by characterizing the issues affecting the subject shipments as unrelated occurrences. However, the relevant inquiry is whether the conduct reflected in the record demonstrates unjust and unreasonable practices relating to the handling and delivery of cargo. When viewed as a whole, the evidence demonstrates repeated deficiencies affecting multiple shipments and resulting in foreseeable harm to Complainants.

Respondent also attempts to attribute Complainants' damages to causes unrelated to its conduct. The evidence, however, establishes a direct connection between Respondent's shipment-handling failures and the losses suffered by Complainants, including demurrage charges, storage costs, customer deductions, contract-related losses, and other economic harm. Those damages were supported by documentary evidence and testimony presented during the hearing.

Additionally, Respondent's arguments frequently rely upon selective interpretations of the evidence while disregarding testimony, correspondence, and exhibits that support Complainants' claims. The record must be evaluated as a whole, and when considered in its entirety, the evidence overwhelmingly supports Complainants' position.

Accordingly, Respondent has failed to rebut the evidence presented by Complainants or demonstrate any basis for rejecting Complainants' claims. The record supports a finding that Respondent violated Section 41102(c) and that those violations caused damages to Complainants.

V. CONCLUSION

For the foregoing reasons, Respondent's arguments fail to rebut the evidence presented by Complainants or undermine the legal and factual support for Complainants' claims. The record demonstrates that Respondent engaged in unjust and unreasonable practices in violation of Section 41102(c) of the Shipping Act and that those violations caused damages to Complainants. The evidence demonstrates a recurring pattern of shipment-handling deficiencies affecting multiple shipments resulting in foreseeable and documented damages to Complainants.

Accordingly, Complainants respectfully request that the Administrative Law Judge reject Respondent's arguments, adopt findings consistent with the evidence presented at hearing, and award Complainants all relief requested in their Post-Hearing Brief, including damages, interest, and such other relief as the Administrative Law Judge deems just and proper.

Dated: June 5, 2026

Respectfully submitted,

By: **Signature:**



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served on June 5, 2026, via electronic mail, which shall notify all parties of record on this matter.

By:



Craig Swilley